then collapsed completely, and the shares lost every sou of their worth. By now, the central bank and the royal treasury owned a huge amount of worthless stock and had no money. The big speculators emerged largely unscathed – they had sold in time. Small investors lost everything, and many committed suicide.

The Mississippi Bubble was one of history's most spectacular financial crashes. The royal French financial system never recuperated fully from the blow. The way in which the Mississippi Company used its political clout to manipulate share prices and fuel the buying frenzy caused the public to lose faith in the French banking system and in the financial wisdom of the French king. Louis XV found it more and more difficult to raise credit. This became one of the chief reasons that the overseas French Empire fell into British hands. While the British could borrow money easily and at low interest rates, France had difficulties securing loans, and had to pay high interest on them. In order to finance his growing debts, the king of France borrowed more and more money at higher and higher interest rates. Eventually, in the 1780s, Louis XVI, who had ascended to the throne on his grandfather's death, realised that half his annual budget was tied to servicing the interest on his loans, and that he was heading towards bankruptcy. Reluctantly, in 1789, Louis XVI convened the Estates General, the French parliament that had not met for a century and a half, in order to find a solution to the crisis. Thus began the French Revolution.

While the French overseas empire was crumbling, the British Empire was expanding rapidly. Like the Dutch Empire before it, the British Empire was established and run largely by private joint-stock companies based in the London stock exchange. The first English settlements in North America were established in the early seventeenth century by joint-stock companies such as the London Company, the Plymouth Company, the Dorchester Company and the Massachusetts Company.

The Indian subcontinent too was conquered not by the British state, but by the mercenary army of the British East India Company. This company outperformed even the VOC. From its headquarters in Leadenhall Street, London, it ruled a mighty Indian empire for about a century, maintaining a huge military force of up to 350,000 soldiers, considerably outnumbering the armed forces of the British monarchy. Only in 1858 did the British crown nationalise India along with the company's private army. Napoleon made fun of the British, calling them a nation of shopkeepers. Yet these